

Adulting 101 Guide

Adulting, unlocked: your guide to mastering money



Hey there!

Are you starting your first job or taking on new money responsibilities? If you are feeling unsure about paychecks, taxes, or saving, you are not alone. Most young adults feel this way at first.

This guide is your handbook for navigating those financial firsts. It walks through the money moments many people experience as they step into adulthood. Each section includes a Real-World video and connects you to the full [Financial Literacy course on Khan Academy](#) if you want to go deeper.

From your first paycheck to credit, housing, and investing, this guide gives you a quick preview of what is ahead so you can feel more confident and prepared.
Let's get started!

The Khan Academy tea

The “Adulting 101” guide overview

1. Employment
2. Banking
3. Taxes and tax forms
4. Financial goals
5. Budgeting and saving
6. Consumer credit
7. Loans and debt
8. Car buying
9. Insurance
10. Housing
11. Investments and retiring
12. Bonus topics

Employment

Getting a job is only the first step. Once you are hired, you need to understand how your pay works and what gets taken out of your paycheck. These details can feel confusing at first, but learning them now will help you avoid surprises later.

Weekly or monthly pay? Which should you choose?

When job hunting, you might see jobs advertise hourly or salary pay positions. How do you know which one pays more? For example, is \$15/hr better than \$2,000 a month? [Learn how to weigh your options.](#)

 Watch the [Real-World video](#) to see how different job offers affect income and opportunities.

Understanding your paycheck

When you get your first paycheck, you might be surprised that your take-home pay is less than you expected. Gross earnings, net income, taxes, deductions—what do all these terms mean? This [easy-to-read guide](#) will help you make sense of your paycheck and see where your money is going.

Employee Name / Address		SSN		Reporting period	Pay date	Employee ID
Type Employee Name Here Type Employee Address Here		XXXX-XX-1234		01/06/2018-01/12/2018	01/14/2018	123
Income	Rate	Hours	Current Pay	Deductions		YTD Total
Gross Earnings	11.47	40	458.80	Statutory Deductions		
				FICA - Medicare		13.30
				FICA - Social Security		56.90
				Federal Tax		107.84
YTD Gross	YTD Deductions	YTD Net Pay	Total	Deductions		Net Pay
917.60	178.04	739.56	458.80	89.02		369.78



Reality Check

Your take-home pay is not the same as your hourly wage times your hours worked. Taxes and other deductions always come out first.

 Explore the full [Employment unit in the Financial Literacy course](#) to learn more about pay, benefits, and workplace decisions.

Banking

Now that you have earned your first paycheck, the next question is simple. Where do you put it? Choosing the right place to keep your money is like picking the right home. It should be safe, convenient, and help your money grow.

Choose the right bank for you:

- Each option has different benefits, so it is important to compare what matters most to you.

Feature	Commercial Banks	Traditional Banks	Credit Unions	Online Banks
Lots of branches and ATMs	•	•		
Full range of services	•	•		
Higher interest rates on savings			•	•
Lower fees			•	•
Personal customer service			•	
Face-to-face help		•	•	
Convenient online access				•

 Watch the [Real-World video](#) to see how someone chooses between a commercial bank, a credit union, and an online bank and learns why deposit insurance matters.

Banking (Continued)

What to look for in a bank:

- Low fees: minimize costs and maximize your savings
- Competitive interest rates: help your money grow
- Exceptional customer service: ensures your needs are met
- Convenient access: choose options that fit your lifestyle (branches, ATMs, online banking)

So... what actually matters to you?

- Here's the truth: no financial institution is the best at everything. They all have strengths. They all have trade-offs.
- So before you choose, ask yourself:
- Am I trying to grow my money?
- Do I want real humans I can talk to?
- Am I cool doing everything on my phone?
- Do I care most about avoiding fees?

There's no "perfect" choice, just the one that fits your priorities right now.



Reality Check

Make sure your bank or credit union has federal deposit insurance. Most banks are insured by the FDIC and most credit unions are insured by the NCUA. Both protect deposits up to \$250,000. Not every money app offers this protection.

 Ready to dive deeper? Explore the [Banking unit in the Financial Literacy course](#) to learn how to open accounts, avoid fees, and choose the right financial institution for your goals. lifestyle (branches, ATMs, online banking)

Taxes and tax forms

You've earned a paycheck and learned about payroll deductions. You've seen taxes listed and watched part of your income go toward them. Now it's time to understand what that actually means. What are taxes? Where does that money go? And why do we pay them in the first place? Let's break it down.

What are payroll taxes?

Payroll taxes are a portion of your paycheck that your employer automatically withholds. These funds support important programs such as:

- Social Security: provides income for retirees and disabled individuals
- Medicare: helps cover healthcare costs for people ages 65 and older

For a deeper dive into the various types of taxes, explore this [article](#)!

 Watch the [Real-World video](#) to see why every day is tax day and how employees and contractors handle taxes differently.

Understanding tax forms

There are many tax forms out there, but here are two key ones you need to know:

- Form W-4: When you start a full-time job, you fill out a W-4 form. This tells your employer how much tax to withhold from your paycheck.
- Form W-2: This annual summary from your employer shows your total earnings and how much was withheld for taxes, including payroll taxes. [Learn how to read a W-2 form.](#)

Start job → Complete W-4 → Taxes withheld from each paycheck → Receive W-2 → File

Reality Check

Taxes are automatically deducted from your paycheck before you receive your take-home pay. If too little is withheld during the year, you may owe money when you file your tax return.

 Explore the [Taxes and tax forms unit in the Financial Literacy course](#) to learn more about W-4 forms, W-2 forms, tax returns, and refunds

Financial goals

Now that taxes are taken out, the rest of your paycheck is up to you. What do you want it to do? Setting financial goals helps you take control of your money instead of wondering where it went.

Identify your priorities

Financial goals can look different depending on your timeline.

- Short-term goals: things you want to achieve within a year (e.g., saving for a trip or a new laptop)
- Medium-term goals: goals for the next 1-5 years (e.g., saving for a car, paying off student loans)
- Long-term goals: big dreams (e.g., buying a house, saving for retirement)

Check out these tips to help you [identify your financial goals](#).

 Watch the [Real-World video](#) to see how turning a vague goal like “save more money” into a SMART goal can make it specific, measurable, achievable, relevant, and time-bound.

Check out these effective [SMART goal](#) strategies.

Vague goal

**SAVE MORE
MONEY**

SMART Goal

**SAVE \$50 PER
PAYCHECK FOR 10
MONTHS TO REACH
\$1,000.**

Make your goals SMART

- Specific: be clear about what you want
- Measurable: track your progress
- Achievable: set realistic goals
- Relevant: align with your values
- Time-bound: set a deadline

Create a financial plan

- Budget: track your income and expenses
- Save: set aside money for your goals
- Invest: grow your money over time

Check out these effective [SMART goal](#) strategies.

Check out this lesson on how to create a [financial plan](#).

Financial goals (Continued)

Reality Check

Saying “I want to save more money” is not a goal. A goal needs a number and a timeline to work.

 Explore the [Financial goals unit in the Financial Literacy course](#) to learn more about setting SMART goals and building a plan to reach them.

Budgeting and saving

Once your goals are set, it is time to fund them. Whether you are saving for a car, your first apartment, or something smaller, a budget helps turn your plans into action.

What is a budget?

A budget is a plan for your money. It helps you track how much you earn, how much you spend, and how much you can save. When you know where your money is going, you can make smarter decisions about where it should go instead.

One simple way to start is the 50-30-20 rule:

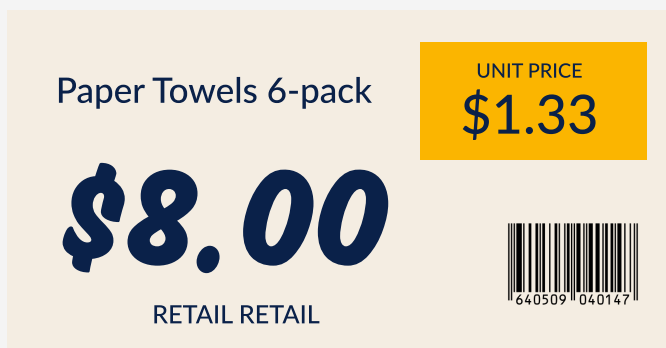
- 50% for needs such as rent, groceries, and bills
- 30% for wants such as entertainment and eating out
- 20% for savings and financial goals

 Watch the Real-World video to see how different spending styles affect your budget and how small strategies, like comparing unit prices or cooking at home, can help you save without giving up everything you enjoy.

Reduce expenses without losing balance

Cutting costs does not mean cutting out all the fun. Look for ways to spend smarter, not just less.

- Cook at home more often instead of dining out.
- Compare unit prices when buying in bulk.
- Choose seasonal or store-brand items.
- Plan ahead to avoid last-minute convenience purchases.



Paper Towels 6-pack

UNIT PRICE
\$1.33

\$8.00

RETAIL RETAIL

640509 040147



Paper Towels 18-pack

UNIT PRICE
\$1.11

\$20.00

RETAIL RETAIL

640509 040147

Buying in bulk can lower your cost per unit, even if the total price is higher.

Budgeting and saving (continued)



Reality Check

The cheapest option is not always the lowest price. Look at the cost per unit to see what you are really paying.

Saving money is key!

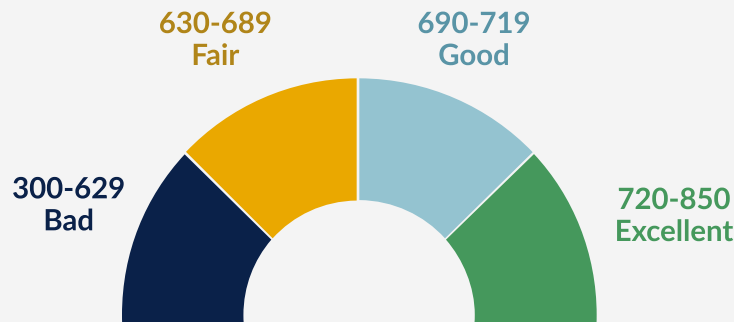
Saving money can feel daunting, but these tips will help you stay on track:

- Track progress: celebrate your milestones
- Cut expenses: make small, manageable changes
- Stay committed: keep your goals in mind

 Explore the [Budgeting and saving unit in the Financial Literacy course](#) to learn more about building a budget, reducing expenses, and creating a plan that works for you.

Consumer credit

As you manage your money and start making bigger purchases, you may begin using credit. Understanding how credit works is important because your credit score can affect everything from renting an apartment to buying a car.



What is consumer credit?

Consumer credit lets you borrow money or get things now and pay later. Your credit score is a number that shows how good you are at paying back money. It can affect your ability to get loans, credit cards, and even jobs.

 **Watch the Real-World video** to see how different credit decisions can lead to very different outcomes and why your credit score matters.

Should I get a credit card?

Credit cards are a common way to use consumer credit. They can be helpful, but also risky, if not used carefully. Here are some pros and cons of having a credit card:

Pros:

- Convenience: easy to use without carrying cash
- Build credit: helps you build a good credit score
- Rewards: some cards give you cash back or points for purchases

Cons:

- Debt risk: easy to overspend and get into debt
- Interest: you pay extra money if you don't pay back the balance on time
- Fees: some cards charge annual and other payment fees

Choosing the right card can help you manage money and build good credit. Using the card incorrectly can lead to debt. Here are important factors to look for when choosing a credit card.

Consumer credit (continued)



Reality Check

The cheapest option is not always the lowest price. Look at the cost per unit to see what you are really paying.



Explore the Consumer credit unit in the Financial Literacy course to learn more about credit scores, credit reports, and how to use credit wisely.

Loans & debt

Using a credit card too often is how most people get into debt. But not all debt is bad—there is good debt too!

What is debt?

Debt is money that you borrow and must pay back. When you use a credit card, take out a loan, or use any form of credit, you are borrowing money. This borrowed money is called debt. But is all debt bad? Not necessarily. [Learn more about good debt and bad debt.](#)

 Watch the [Real-World video](#) to learn how high interest loans like payday and title loans can trap borrowers and why understanding the fine print matters before you borrow.

Repayment strategies matter

If you already have debt, having a payoff plan can make a big difference.

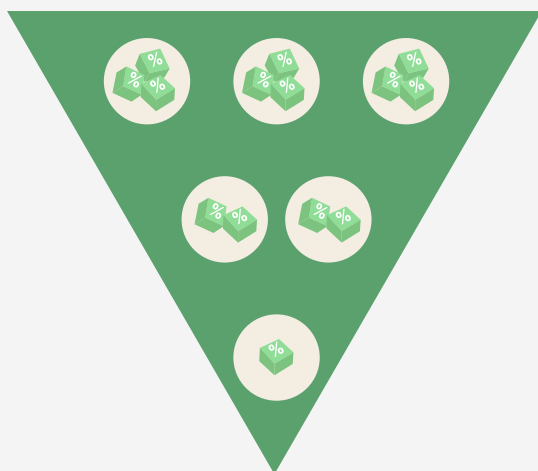
Two common approaches:

- The avalanche method (high-interest first):
Pay off the debt with the highest interest rate first to minimize the total amount you pay over time.
- The snowball method (smallest balance first):
Pay off the smallest balances first to build momentum and motivation.

Both strategies can work—the best one is the one you can stick with.

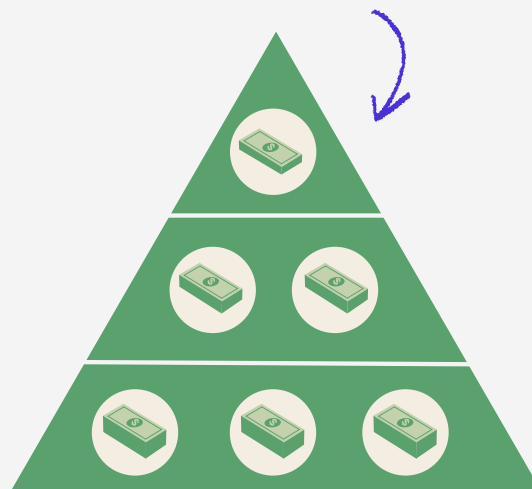
High-rate method

START HERE



The snowball method

START HERE



Loans & debt (continued)



Reality Check

If a lender promises fast cash with no credit check, very high fees, or asks for your car title as collateral, slow down. High-interest loans can trap you in a cycle of debt.

 Explore the Loans and debt unit in the Financial Literacy course to learn more about interest, repayment strategies, and how to avoid predatory lending.

Car buying

As you take on bigger responsibilities, you may consider buying a car. This is one of the first major financial decisions many young adults make, and it often involves using credit or a loan.

The car-buying experience

- Research: Look into different car models that fit your needs and budget. Consider factors like fuel efficiency, reliability, and resale value. Read reviews and compare prices online.
- Test drive: Always test-drive the car to ensure it's the right fit. Pay attention to comfort, handling, and any unusual noises.

 Watch the [Real-World video](#) to learn how to spot common car dealership tactics and avoid overpaying when buying a car.

Understanding car loans

- Financing options: Compare interest rates from banks, credit unions, and dealerships. Look for the best deal and consider getting pre-approved for a loan to know your budget.
- Monthly payments vs. total cost: Focus on the total cost, not just the monthly payment. A lower monthly payment might mean a longer loan term and more interest paid over time. Use this [car payment calculation tool](#) to understand the full cost.

Paying for a car

Car Price + tax

\$20,000

Down Payment

\$4,000

Interest Rate

5%

Loan Term

36 Months

Monthly Payment Calculator

Loan Amount

16000

Interest rate

10%

Loan Term

4 Years

Monthly Payment

4 Years



Reality Check

A lower monthly payment does not always mean a better deal.
A longer loan term can cost you more in total interest.

 Explore the [Car buying unit in the Financial Literacy course](#) to learn more about financing, negotiating, and understanding the true cost of owning a vehicle.

Car insurance

After buying a car, protecting it becomes your next responsibility. Car insurance is essential for protecting yourself, your vehicle, and others on the road, and it is required by law in most states.

Types of car insurance coverage

- Liability insurance: covers damages to others if you're at fault in an accident
- Collision insurance: covers damages to your car from a collision
- Comprehensive insurance: covers damages to your car from non-collision events like theft, fire, or natural disasters
- Personal injury protection (PIP): covers medical expenses for you and your passengers
- Uninsured/underinsured motorist coverage: covers costs if you're hit by a driver without insurance or not enough insurance

How to choose the right car insurance

- ✓ Assess your needs: consider your car's value, your driving habits, and your budget
- ✓ Compare quotes: get quotes from multiple insurance companies to find the best rate
- ✓ Understand the policy: make sure you understand what's covered and what's not

Check out this video on understanding the [basics of car insurance](#)!



Reality Check

The cheapest insurance policy is not always the best choice. A low premium often means a higher deductible or less coverage.

Insurance beyond your car

Car insurance is just one type of coverage. There are also other types of insurance that protect different parts of your life, such as health insurance, renters insurance, and homeowners insurance

 Watch the [Real-World video](#) to see how insurance works in everyday life, from premiums and deductibles to why having coverage helps you bounce back when something goes wrong.

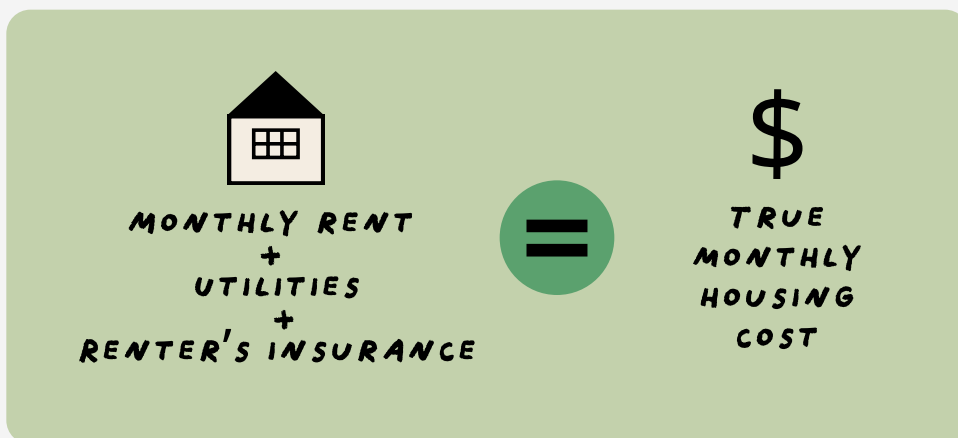
 Explore the [Insurance unit in the Financial Literacy course](#) to learn more about different types of insurance and how to choose the right coverage.

Housing

Another major step in adulthood is finding a place to live. Whether you are renting your first apartment or thinking about buying someday, housing is often your largest monthly expense.

Before you apply

1. The 30% rule: Spend no more than 30% of your monthly income on housing. For example, if you make \$3,000 per month, aim to spend around \$900 on housing costs.
2. The 3x rent rule: Landlords typically prefer that your monthly income is at least three times the rent. So, for a \$1,000 rent, you should be making at least \$3,000 per month.
3. Credit scores: Landlords will check your credit score to see if you pay your bills on time. A good credit score can help you get approved for a rental.



Feeling a bit lost? No worries! Here are the typical steps to follow when renting a place:

1. Find a place: Look online, use rental apps, or ask around in your community. Here are things to consider when searching for a home.
2. Visit: Inspect the place thoroughly for any signs of damage, mold, or pests. Make sure appliances work and that there's adequate water pressure.
3. Apply: Provide proof of income, references, and any other required documents. Check out this lesson to understand rental requirements.
4. Sign the lease: Read the lease agreement carefully before signing. Make sure you understand all the terms and conditions.

Housing



Reality Check

Rent is not your only housing cost. Utilities, deposits, insurance, and fees can add hundreds of dollars to your monthly budget.

Explore the [Housing unit in the Financial Literacy course](#) to learn more about renting, homeownership, and understanding the full cost of housing.

Investments and retirement

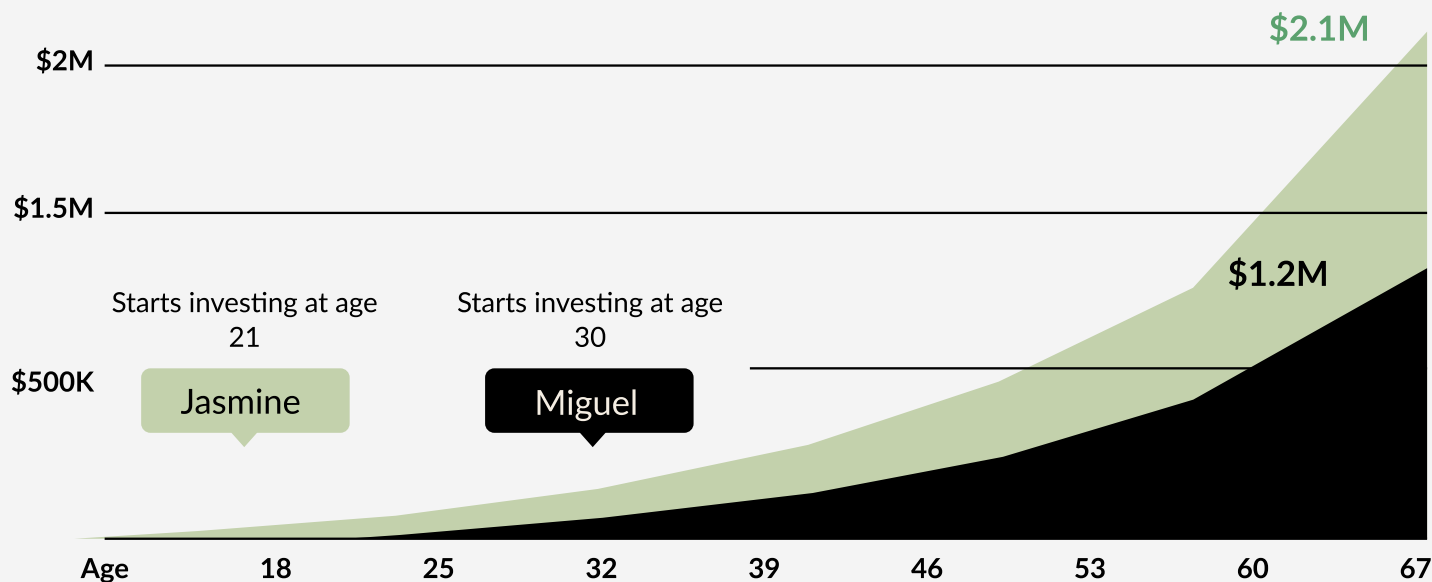
Once you have handled the big basics like housing and transportation, it is time to think long term. Retirement may feel far away, but planning early can make a major difference for your future self.

The case of the early bird

You may have heard the saying, “The early bird catches the worm.” When it comes to investing, starting early gives your money more time to grow through compound interest.

Compound interest means you earn money not only on what you invest, but also on the growth from previous years. Over time, that growth can accelerate.

📺 Watch the [Real-World video](#) to see how starting early can give you a major advantage, even if you invest small amounts.



Investments and retirement (Continued)

Do it now vs. later

You might think, "I'll start saving when I have more money." Even if you can only set aside \$10 a month, it's a start! The key is consistency. Over time, those small amounts can grow into a significant nest egg. Dive into "[The Costs of Retirement and How to Estimate Them](#)" to get a clearer picture.

Reality Check

Time is one of the most powerful tools in investing. Starting earlier often matters more than investing larger amounts later.

 Explore the [Investments and retirement unit in the Financial Literacy course](#) to learn more about compound interest, retirement accounts, and estimating future costs.

Bonus topics

Adulting isn't just about paychecks and budgets. It's also about spotting scams, choosing your path, and making informed decisions about your future.

These topics may feel separate, but they all connect to your financial well-being.

Scams and fraud

Not every opportunity is real. Scammers use pressure, urgency, and big promises to trick people into sending money or sharing personal information.

Common examples include:

- Pyramid schemes that promise quick income
- Fake check scams that leave you owing money
- Phishing emails or texts that try to steal your information

Learning to recognize red flags can help you avoid costly mistakes.

 Watch the [Real-World video](#) to see how common scams work and how to spot warning signs before you lose money.



Reality Check

If something sounds too good to be true, it probably is.

Bonus topics (continued)

Careers and education

Your career path affects your income, lifestyle, and long term financial goals. There is no single “right” path. College, trade school, professional programs, and apprenticeships can all lead to meaningful work.

Before choosing a path, consider:

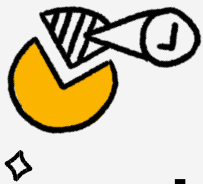
- Cost of education or training
- Potential earning opportunities
- Your interests and strengths
- Work-life balance

 Watch the [Real-World video](#) to explore different post-secondary options and see how education choices connect to future income.

Reality Check

When choosing education or training, think about both the cost and the long-term payoff.

 Explore the [Scams and fraud](#) and [Careers and education](#) units in the Financial Literacy course to learn more about protecting your money and planning your future.



Congratulations on making it through the "Adulting 101" guide!



Woohoo! You've made it to the end of the "Adulting 101" guide! Ready to dive even deeper? Check out our [Financial Literacy course on Khan Academy](#) for more tips and tricks to master your finances and rock adulthood!

[Explore the Financial Literacy course](#)

This course is made possible by Walmart, a founding sponsor, and additional support is provided by Capital One and Intuit for Education, companies that are committed to providing students with essential personal finance skills.



Calling all teachers!

Are you teaching financial literacy? Be sure to dive into the [Teacher Resources unit](#) in our Financial Literacy course. It's packed with goodies to help you teach financial literacy, consumer credit, investments and retirement, taxes and tax forms, employment, and car buying.

